

Chemicals**Chemicals 2Q26 Preview: A tactical long and a couple of prints to be managed**

James Hooper
+44 20 7676 6995
james.hooper@bernsteinsg.com



Sebastien Afoy
+44 207 762 1032
sebastien.afay@bernsteinsg.com

Specialist Sales

James Brady
+44 20 7762 5272
james.brady@bernsteinsg.com



Steve Song
+1 917 344 8401
steve.song@bernsteinsg.com

We expect a mostly solid set of 2Q26 results from our coverage, with few fireworks after [BASF pre-announced](#). We're only expecting further guidance raises from the US industrial gases, and even those by less than 1% on average. Our highest conviction tactical call is long Akzo Nobel, where we think consensus' forecast of a guidance cut is too bearish, and we have asterisks on the prints of Air Liquide, where we believe fundamentals are fine but comparable growth expectations a little bullish, and Solvay, where a miss could be severely punished.

Our highest conviction tactical call is long Akzo Nobel. While we are more in-line for Akzo's 2Q26's EBITDA, our various consensus sources are all telling us that Akzo will cut their FY26 EBITDA guidance of €1.47bn+ (Company €1,420m, Bloomberg €1,424m, Visible Alpha €1,423m). We believe a guidance cut at 2Q26 is highly unlikely and model 2026 EBITDA of €1.48bn. We see limited evidence of sufficient volume declines to change the Company's guidance views. And on the cost side, under our forecasts of their raw material basket ([Exhibit 6](#)), only LSD +ve pricing across 2026 is required for the neutral raw material spread assumed by guidance. Higher pricing and resilient volumes could even be a source of 3Q upside to guidance, [if Akzo follow their playbook from 1Q results](#). While we are less certain on the medium-term outlook for Akzo, we like the stock into results.

Slightly cautious on Air Liquide because of growth expectations, but we see fundamentals as sound. Air Liquide sold off after 1Q26 because of their growth commentary (see report [Air Liquide 1Q26: Who is the guidance for?](#)), although the shares recovered as the guidance proved conservative. We are worried that something similar may happen with H1 results. Consensus is again forecasting accelerating sequential comparable growth in 2H vs. 2Q. We are slightly less bullish than consensus, mainly through Large Industries ([Exhibit 2](#)), where we do not forecast an on-site volume demand inflection outside the Americas, nor materially more ramp-ups outside of Normand'Hy. Despite our lower growth forecasts, we are in-line with FY26 profitability estimates, as in this pricing environment and with their ongoing cost initiatives, we believe Air Liquide will be able to compensate on margins (BernE 2H26 OIR margin improvement +130bps).

For Solvay's print we see risk-reward relatively negatively. We are modelling an in-line 2Q26 EBITDA result, based on sufficient acceleration at Coatis to cover for pricing lags and closures elsewhere ([Exhibit 11](#)). However, a miss is likely to lead to investor concerns about Solvay's ability to reach the bottom of their guidance range, whilst even a small beat (e.g. c. ~€185m EBITDA) still puts FY26 guidance under threat from low-demand inflationary environment ([Chemicals: Specialty or Commodity, with potentially tough times in between](#)). For Solvay, we model enough sequential underlying EBITDA improvement to reach 2026 guidance, assuming that the Sadara peroxides plant restarts by Q4, and there is no further major raw material inflation, as pricing in some businesses (e.g. silicas) is passed on with a lag. However, we are not modelling a further deterioration in either demand or soda ash pricing, which would make us more bearish.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	15 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
Al.FP (Air Liquide)	O	EUR	175.14	189.00	(6.6)%	EUR	6.70	6.76	7.06	28.7	28.7	26.1
OLD				207.00				7.39	8.14			
APD (Air Products)	O	USD	293.69	345.00	(18.7)%	USD	12.07	13.28	14.64	24.3	22.1	20.1
OLD				344.00				13.25				
AKZA.NA (Akzo Nobel)	M	EUR	57.02	60.00	(22.2)%	EUR	3.63	3.97	4.26	15.7	14.4	13.4
OLD				59.00				3.99	4.24			
AKE.FP (Arkema)	M	EUR	56.25	61.00	(26.6)%	EUR	4.34	4.42	5.02	13.0	12.7	11.2
OLD				68.00				4.62	5.24			
BAS.GR (BASF)	O	EUR	47.98	61.00	(3.7)%	EUR	2.24	2.62	2.78	21.4	18.3	17.3
BOROUGE.UH (Borouge)	M	AED	2.42	2.45	(25.3)%	USD	0.04	0.02	0.05	17.9	26.6	12.9
OLD				2.48				0.03				
CLN.SW (Clariant)	M	CHF	7.83	8.00	(21.6)%	CHF	0.68	0.62	0.73	11.6	12.7	10.7
OLD				8.30				0.64	0.75			
LIN.UW (Linde)	O	USD	514.15	559.00	(6.2)%	USD	16.46	18.02	19.89	31.2	28.5	25.9
OLD				561.00				18.10	19.99			
PPG (PPG)	O	USD	115.31	130.00	(20.5)%	USD	7.64	7.92	8.71	15.1	14.6	13.2
OLD								7.95	8.75			
SOLB.BB (Solvay)	M	EUR	26.50	26.20	(23.9)%	EUR	2.82	2.24	2.65	9.4	11.8	10.0
OLD				26.60				2.28	2.74			
SYENS.BB (Syensqo)	O	EUR	68.55	71.00	(15.9)%	EUR	3.72	3.80	4.31	18.4	18.0	15.9
OLD				70.00				3.85	4.36			
EDME			1,598.24									
SPX			7,533.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Al.FP valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Our updated sector thesis is in [Chemicals: Specialty or Commodity, with potentially tough times in between](#).

In preference order, we rate Linde, Air Products, BASF, Air Liquide, PPG and Syensqo Outperform. We rate Akzo Nobel, Arkema, Borouge, Clariant and Solvay Market-Perform.

Model updates: we make a series of mostly minor update based on our recent conversations with the companies. For the details of the model updates and the links to our recent company call updates, please see page 12 onwards.

DETAILS

EXHIBIT 1: Industrial Gases Earnings Cheat Sheet

Industrial Gases earnings cheat sheet				
		Air Liquide (€)	Linde (\$)	Air Products (\$) (2Q26)
Expectations Bar / Momentum		MEDIUM	HIGH	HIGH
What should matter most		Margins and commentary around growth	Beating / Guidance	Beating / Guidance
Current Guidance		Increase op. margin and recurring net profit at cc.	2Q EPS \$4.40-4.50 26E EPS \$17.60-17.90 (7-9% growth)	3QFY EPS \$3.25-3.35 FY26E EPS \$13.00-13.25 (8-10% growth)
Guidance Change?		No change	RAISE	RAISE
BernE Guidance		Increase op. margin and recurring net profit at cc.	3Q EPS \$4.50-4.60 26E EPS \$17.60-18.10 (7-10% growth)	FY4Q EPS \$3.45-3.60 FY26E EPS \$13.20-13.35 (9-11% growth)
Q2 Comp. Growth	Bernstein	2.8%		
	Sell-side Consensus	2.8%		
	BERN vs. Consensus	-0.3%		
H1 OIR	Bernstein	2,914		
	Sell-side Consensus	2,908		
	BERN vs. Consensus	0.2%		
Cal. Q2 EPS	Bernstein		4.49	3.35
	Sell-side Consensus		4.48	3.34
	BERN vs. Consensus		0.1%	0.6%
Cal Q3 Comp growth / EPS	Bernstein	3.4%	4.59	3.56
	Sell-side Consensus	4.1%	4.54	3.52
	BERN vs. Consensus	-70bps	1.2%	1.1%
2026E OIR (mn)	Bernstein	6,095		
	Sell-side Consensus	6,081		
	BERN Y/Y Growth	9.2%		
	BERN vs. Consensus	0.2%		
FY26E EPS	Bernstein	6.76	18.02	13.28
	Sell-side Consensus	6.43	17.86	13.22
	BERN Y/Y Growth	0.8%	9.5%	10.0%
	BERN vs. Consensus	5.1%	0.9%	0.4%
Upside Potential		MEDIUM	MEDIUM	MEDIUM
Downside Potential		MEDIUM	MEDIUM	MEDIUM

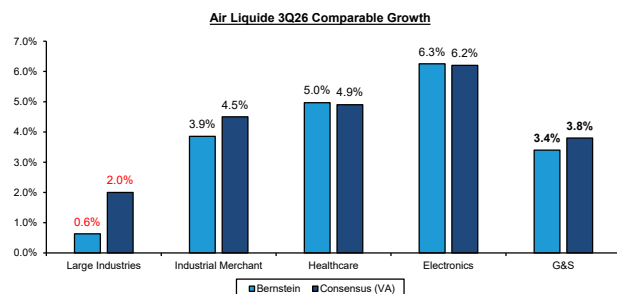
Vara consensus for Air Liquide except 3Q comp growth (VA). Bloomberg for LIN and APD

Source: Company information, Vara, Bloomberg, Visible Alpha, Bernstein estimates and analysis

Air Liquide's consensus comparable growth expectations may be slightly elevated in 2H26, as we are slightly more bearish on Large Industries. Air Liquide sold off after 1Q26 based on conservative comparable growth guidance (see report [Air Liquide 1Q26: Who is the guidance for?](#)). We are worried that something similar may happen with H1 results. 2025's comps are similar across 2Q and 2H, so the acceleration in growth will need to come from fundamentals. We continue to forecast volume growth in Large Industries in the Americas (5% 3Q, 2.5% 4Q), but do not expect European or Asian on-site volumes to materially improve in 2H26 absent more clarity on the Strait of Hormuz crisis. We therefore do not forecast an acceleration of Large Industries growth, unlike consensus, and we also believe the hydrogen start-ups which could deliver volume growth outside Normand'Hy are not due until 2027, and even Normand'Hy itself may not generate substantial revenues in the start-up phase.

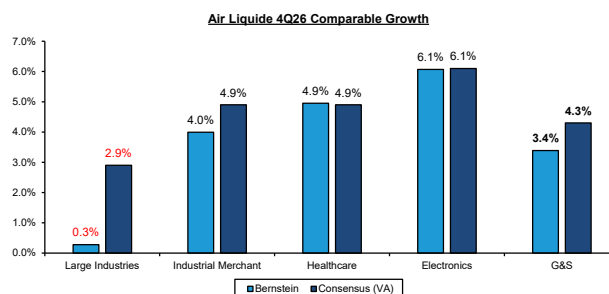
We are less concerned about FY26 profitability, however. c. 70bps lower growth over H2 means only a c. €100m / 3% reduction in 2H OIR and therefore a c. 1.6% reduction in FY OIR by our estimates (assuming +100bps margins); in this pricing environment and with their ongoing cost initiatives, we believe Air Liquide will be able to compensate; we model 2H underlying margin improvement of +130bps. We reiterate our position that we think the underlying business is performing solidly, but this is more about managing investor expectations.

EXHIBIT 2: We see potential for a speed bump in Air Liquide's 2H26 growth expectations from Large Industries (1/2)



Source: Company information, Visible Alpha, Bernstein analysis

EXHIBIT 3: We see potential for a speed bump in Air Liquide's 2H26 growth expectations from Large Industries (2/2)



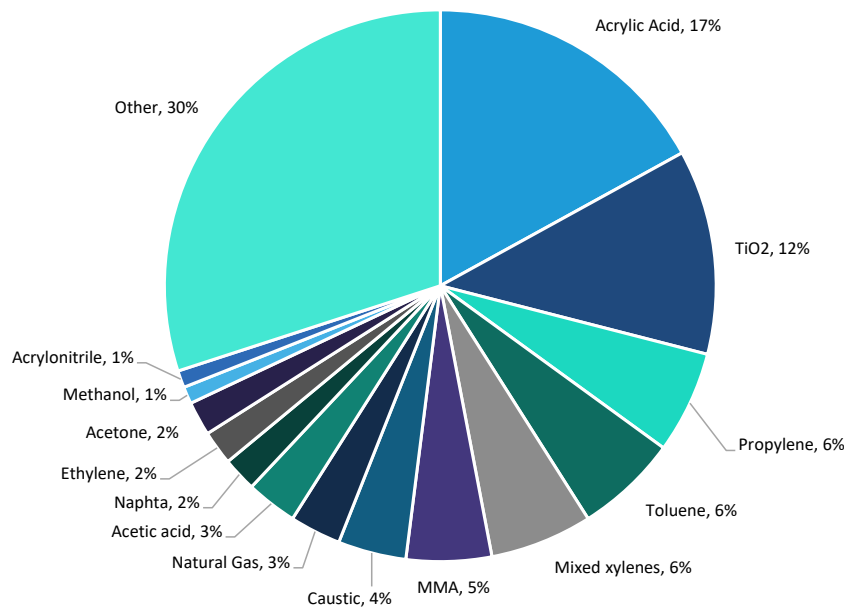
Source: Company information, Visible Alpha, Bernstein analysis and estimates

EXHIBIT 4: **Paints & Coatings 2Q26 Cheat Sheet**

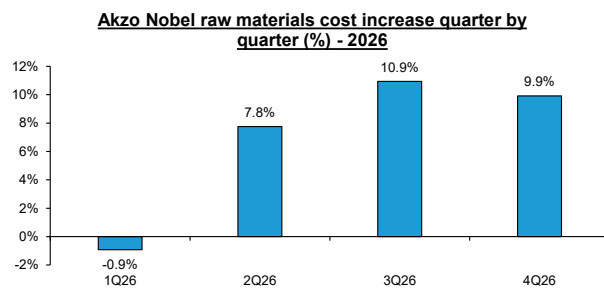
Paints & Coatings earnings cheat sheet			
		Akzo Nobel (€)	PPG (\$)
Expectations Bar / Momentum		MEDIUM	MEDIUM
What should matter most		FY26 Guidance and commentary	FY26 Guidance and commentary
Current Guidance		2026E EBITDA: ~€1,470m	FY26E EPS: \$7.70-8.10 2Q26E EPS: flat to +LSD
Guidance Change?		No change	No change
BernE FY26 Guidance		2026E EBITDA: ~€1,470m	2026E EPS: \$7.70-8.10 3Q26E EPS: \$2.10-2.20
2Q26E EBITDA (mn)	Bernstein	400	
	Sell-side Consensus	392	
	BERN vs. Consensus	2.0%	
2Q26E EPS	Bernstein		2.26
	Sell-side Consensus		2.24
	BERN vs. Consensus		0.7%
3Q26E EBITDA (mn)	Bernstein	399	
	Sell-side Consensus	378	
	BERN vs. Consensus	5.5%	
3Q26E EPS	Bernstein		2.14
	Sell-side Consensus		2.12
	BERN vs. Consensus		0.9%
26E EBITDA (mn)	Bernstein	1,476	
	Sell-side Consensus	1,420	
	BERN Y/Y Growth	2.2%	
	BERN vs. Consensus	3.9%	
26E EPS	Bernstein		7.92
	Sell-side Consensus		7.86
	BERN Y/Y Growth		3.8%
	BERN vs. Consensus		0.8%
Upside Potential		HIGH	MEDIUM
Downside Potential		MEDIUM	MEDIUM

Akzo consensus from the company (Visible Alpha), PPG consensus from Visible Alpha
Source: Company information, Visible Alpha, Bernstein analysis and estimates

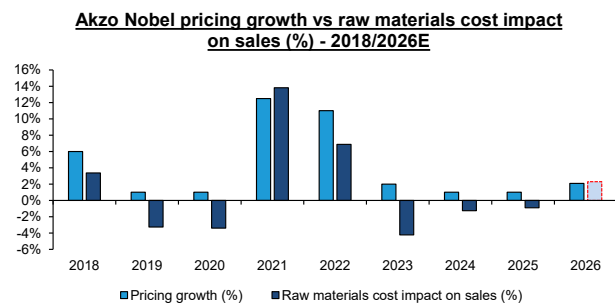
We see no guidance cut for Akzo Nobel with 2Q, so consider consensus too bearish. The end consumer has showed some resilience in 2026 to date, meaning we see little reason for a guidance cut based on the volume trajectory. We see the greater threat as raw material inflation constraining profitability. Forecasts for our estimate of Akzo's raw material basket indicate HSD-LDD raw material inflation over 2Q-4Q 2026, which we believe can be offset by c. 2% pricing ([Exhibit 5](#) - [Exhibit 7](#)). We see this as very realistic given Akzo's pricing power historically. Given 2026 guidance assumptions factored in ~ flat raw material inflation, we see little reason for the company to change these assumptions at this time. Our forecast of €1,476m is aligned with guidance of €1.47bn+, meaning we consider consensus too bearish.

EXHIBIT 5: **Akzo's raw materials cost exposure tilts towards Acrylic Acid and TiO2****Akzo Nobel - Raw Materials mix (%)**

Source: Company information, Bernstein analysis and estimates

EXHIBIT 6: **We see double digit raw material costs increase for the second half of the year**

Source: Company information, ICIS, Bloomberg, Bernstein analysis and estimates

EXHIBIT 7: **Given Akzo's track record of pricing net of inflation, we believe they can pass on the costs**

Source: Company information, ICIS, Bloomberg, Bernstein analysis and estimates

EXHIBIT 8: 2Q26 Industrial Chemicals Cheat Sheet

Industrial Chemicals earnings cheat sheet							
		Arkema (€)	BASF (€)	Borouge (USD)	Clariant (CHF)	Solvay (€)	Syensqo (€)
Expectations Bar / Momentum		MEDIUM	N/A (pre-announced)	LOW	MEDIUM	MEDIUM	MEDIUM
What should matter most		Demand differences across the divisions	Conversion of EBITDA to FCF	Update on production and sales volumes	Catalyst recovery trajectory & pricing update	Sources of acceleration to reach guidance	Sources of acceleration to reach guidance
Current Guidance		26E EBITDA: Slight EBITDA growth at cc	26E EBITDA: €6.9-7.7bn 26E FCF: €1.5-2.3bn	26E Dividend 16.2 AED fils / share	26E: ~Flat LC revenue growth, ~18% EBITDA Margin	26E EBITDA: €770-850m 26E FCF: €200m+	26E EBITDA: ~€1.1bn 26E OCF: ~€700m
Guidance Change?		No change	N/A	No change	No change	No change	No change
BernE 2026 Guidance		26E EBITDA: Slight EBITDA growth at cc	N/A	26E Dividend 16.2 AED fils / share	26E: ~Flat LC revenue growth, ~18% EBITDA Margin	26E EBITDA: €770-850m 26E FCF: €200m+	26E EBITDA: ~€1.1bn 26E OCF: ~€700m
2Q26E EBITDA (mn)	Bernstein	376		415	157	181	292
	Sell-side Consensus	362		431	155	181	291
	BERN vs. Consensus	3.9%		-3.7%	1.0%	-0.4%	0.4%
3Q26E EBITDA (mn)	Bernstein	336		468	165	192	302
	Sell-side Consensus	329		644	164	187	298
	BERN vs. Consensus	2.2%		-27.4%	0.4%	2.8%	1.5%
26E EBITDA (mn)	Bernstein	1,274			666	774	1,110
	BERN Y/Y Growth	1.8%			-4.4%	-12.1%	-6.6%
	Sell-side Consensus	1,259			668	778	1,095
	BERN vs. Consensus	1.2%			-0.3%	-0.4%	1.4%
Upside Potential		MEDIUM	MEDIUM	MEDIUM	MEDIUM	MEDIUM	MEDIUM
Downside Potential		MEDIUM	MEDIUM	LOW	MEDIUM	MEDIUM	MEDIUM

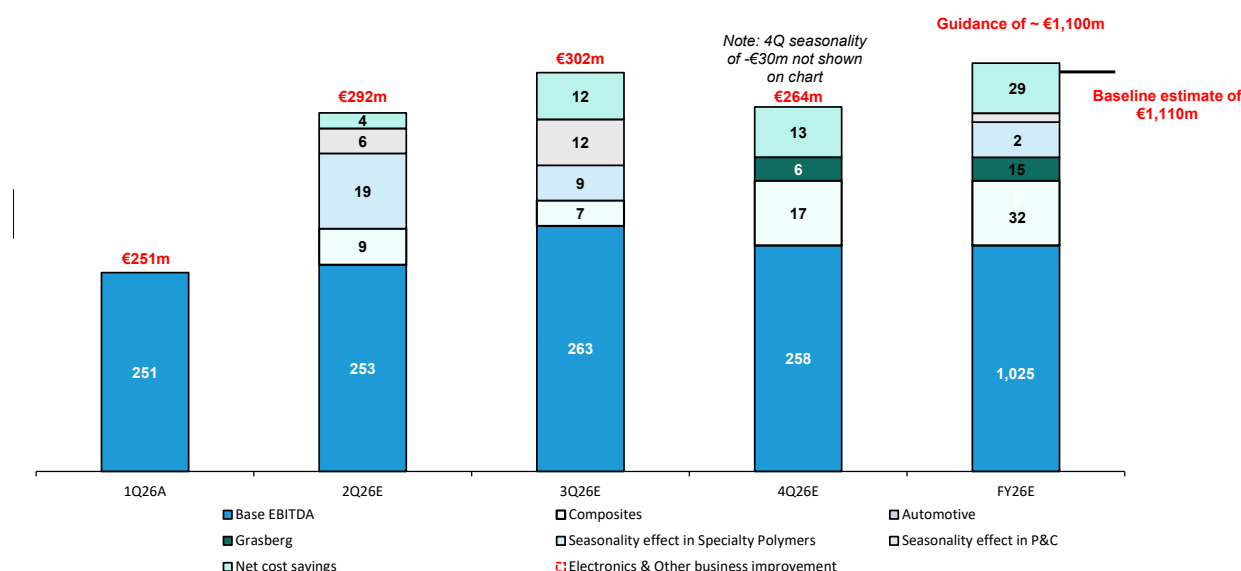
Company consensus for AKE, Vara for Clariant, Solvay, Bloomberg for Syensqo, Borouge
Source: Company information, Bloomberg, Vara, Bernstein estimates and analysis

Two companies need to show accelerating growth in 2H - we have more concerns about Solvay. Our breakdowns of our modelled EBITDA growth for both companies are included in [Exhibit 9](#) to [Exhibit 11](#). For Syensqo, we are more comfortable with the elements of the hockey stick, with an electronics recovery supporting base EBITDA estimates if there is further weakness in other end markets. For Solvay, we model enough sequential underlying EBITDA improvement to reach 2026 guidance, assuming that the Sadara peroxides plant restarts by Q4, and there is no further major raw material inflation, as pricing in some divisions (e.g. silicas) is passed on with a lag. However, we are not modelling a further deterioration in either demand or soda ash pricing. This would cause downwards revisions to our estimates, and may lead to a change in guidance, albeit consensus is already relatively close to the bottom of guidance.

For Solvay's print we see risk-reward relatively negatively. Although we are modelling an in-line 2Q26 EBITDA result, even a small miss is likely to lead to serious investor concerns about Solvay's ability to reach the bottom of their guidance range, whilst even a small beat (e.g. c. ~€185m EBITDA) still means performance needs to be maintained in what could be a low-demand inflationary environment ([Chemicals: Specialty or Commodity, with potentially tough times in between](#)).

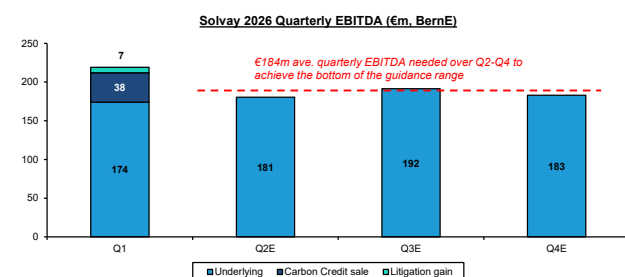
EXHIBIT 9: For our Syensqo modelling, we now only need to believe in a limited EBITDA from a pickup in Electronics or other business improvement for the base business to reach the €1.1bn guidance

Syensqo - 2026 Quarterly incremental EBITDA drivers



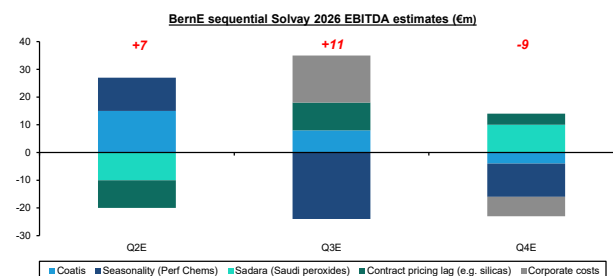
Source: Company data, Bernstein analysis and estimates

EXHIBIT 10: Solvay need a slight underlying improvement over the coming quarters to make EBITDA guidance



Source: Company information, Bernstein estimates and analysis

EXHIBIT 11: We model EBITDA close to the bottom of guidance (and consensus) for Solvay, but we are not modelling underlying market deterioration



Source: Company information, Bernstein estimates and analysis

ESTIMATE AND SHARE PRICE TRENDS ARE RELATIVELY STABLE

EXHIBIT 12: **Share price performances have been mixed across Chemicals**

Share Price Performance				
	1 Week	1 Month	YTD	Since Apr 1st 2025
Industrial Gases				
Air Liquide	1.4%	6.3%	21.0%	9.5%
Linde	-1.0%	0.2%	22.5%	11.9%
Air Products	0.9%	5.8%	21.2%	2.0%
Average	0.4%	4.1%	21.6%	7.8%
Paints & Coatings				
Akzo Nobel	0.3%	-2.3%	-2.8%	0.1%
PPG	0.3%	-5.7%	11.9%	5.2%
Average	0.3%	-4.0%	4.6%	2.7%
Industrial Chemicals				
Arkema	3.1%	-2.7%	8.1%	-21.0%
BASF	1.8%	-1.5%	9.1%	3.9%
Borouge	-2.8%	-3.2%	-7.6%	-0.4%
Clariant	8.3%	3.3%	9.5%	-16.9%
Solvay	2.7%	-2.2%	-2.1%	-20.0%
Syensqo	3.9%	-0.4%	-1.9%	6.5%
Average	2.8%	-1.1%	2.5%	-8.0%

Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **2Q26 Consensus estimates have been broadly stable over the past month after settling down earlier during the year**

2Q26 Bloomberg Consensus Earnings Estimate Changes					
		1 Week	1 Month	YTD	Since Apr 1st 2025
EPS	Industrial Gases				
	Air Liquide	0.2%	-1.1%	-6.9%	-10.8%
	Linde	0.0%	0.0%	0.7%	-0.7%
	Air Products*	0.0%	0.0%	0.0%	-6.9%
	Average	0.1%	-0.3%	-2.1%	-6.1%
EPS	Paints & Coatings				
	Akzo Nobel	0.0%	0.9%	-11.2%	-20.1%
	PPG	0.0%	0.2%	-0.1%	-10.5%
	Average	0.0%	0.5%	-5.7%	-15.3%
EBITDA	Industrial Chemicals				
	Arkema	0.0%	0.1%	1.7%	-31.0%
	BASF	0.0%	1.9%	20.0%	-15.6%
	Borouge	-3.4%	-14.1%	-	-
	Clariant	0.0%	0.6%	-13.6%	-32.1%
	Solvay	0.0%	-0.8%	-26.3%	-38.8%
	Syensqo	0.0%	0.3%	-17.1%	-31.2%
	Average	-0.6%	-2.0%	-7.1%	-29.8%

* 3QFY26 for Air Products

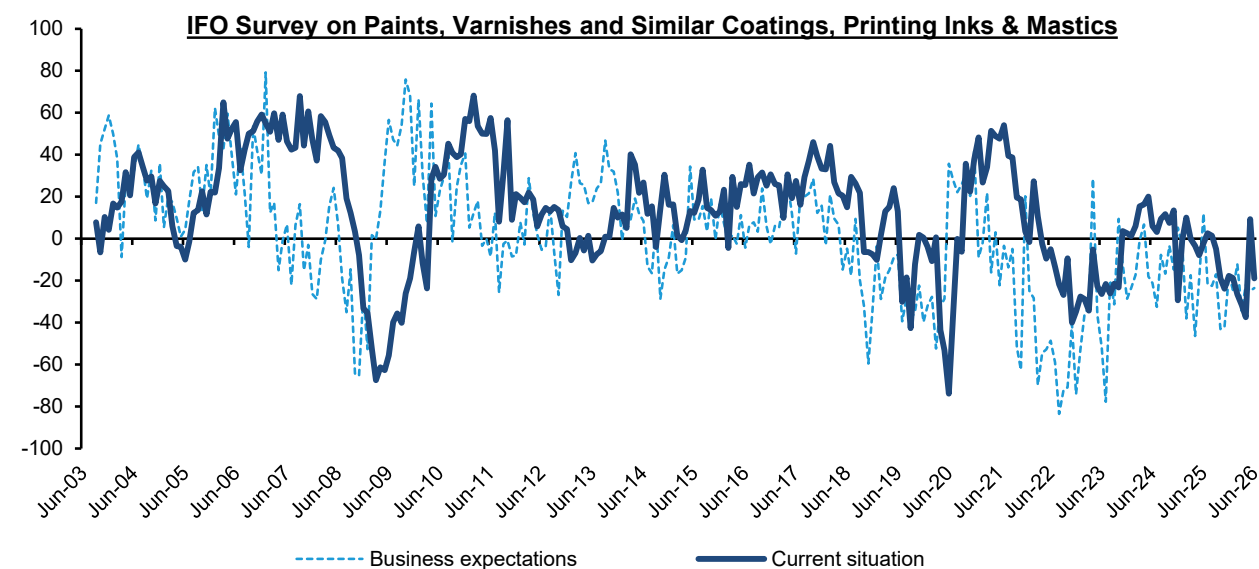
Source: Bloomberg, Bernstein analysis

EXHIBIT 14: **FY26 consensus earnings revisions have started to be slightly positive**

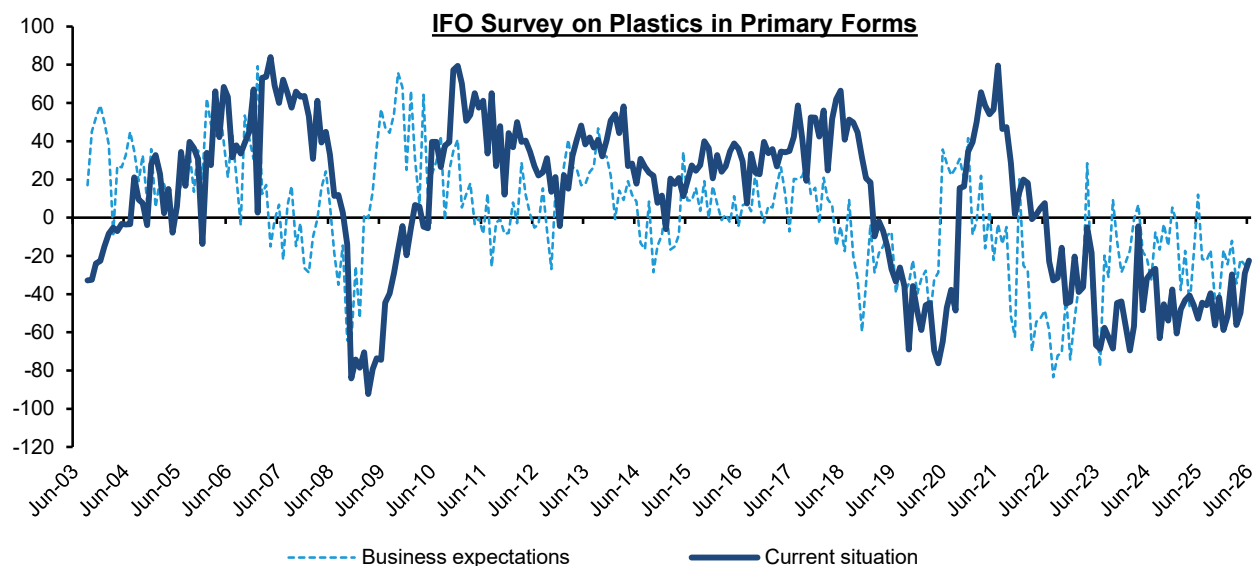
FY26 Bloomberg Consensus Earnings Estimate Changes					
		1 Week	1 Month	YTD	Since Apr 1st 2025
EPS	Industrial Gases				
	Air Liquide	0.1%	0.4%	-2.1%	-6.3%
	Linde	0.0%	-0.1%	0.5%	-1.4%
	Air Products*	0.0%	0.0%	1.7%	-5.1%
	Average	0.0%	0.1%	0.0%	-4.3%
EPS	Paints & Coatings				
	Akzo Nobel	0.1%	0.3%	-12.7%	-20.4%
	PPG	0.0%	0.1%	-2.8%	-9.2%
	Average	0.1%	0.2%	-7.7%	-14.8%
EBITDA	Industrial Chemicals				
	Arkema	1.1%	0.2%	-3.6%	-25.3%
	BASF	0.0%	-0.3%	-2.1%	-21.0%
	Borouge	-0.6%	-4.1%	-9.0%	-18.0%
	Clariant	0.5%	1.1%	-6.3%	-14.2%
	Solvay	-0.1%	-0.5%	-8.8%	-27.4%
	Syensqo	0.0%	2.0%	-18.1%	-29.4%
	Average	0.2%	-0.3%	-8.0%	-22.5%

* Air Products uses Fiscal Year 26E estimates

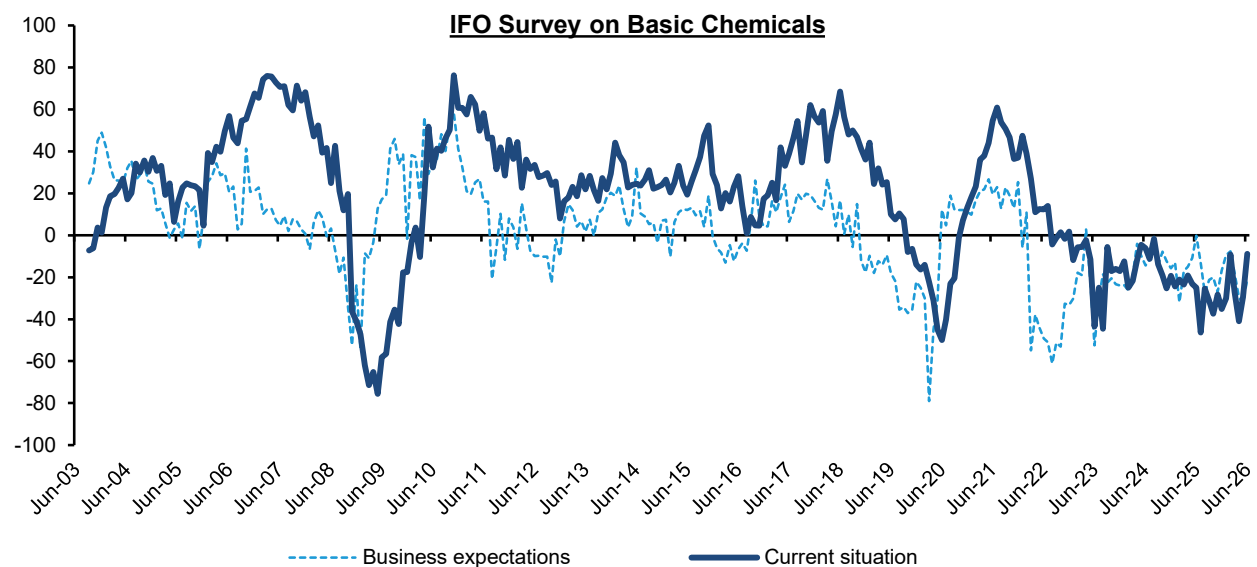
Source: Bloomberg, Bernstein analysis

EUROPEAN SENTIMENT INDICATORS REMAIN WEAKEXHIBIT 15: **The IFO P&C sentiment tracker is ticking down and expectations remain weak**

Source: IFO Institute, Bloomberg, Bernstein analysis

EXHIBIT 16: The IFO tracker for plastics is very bearish

Source: IFO Institute, Bloomberg, Bernstein analysis

EXHIBIT 17: The IFO survey on basic chemicals remains lacklustre

Source: IFO Institute, Bloomberg, Bernstein analysis

BERNSTEIN VS. BLOOMBERG CONSENSUS: A DETAILED OVERVIEW

EXHIBIT 18: Bernstein vs. Bloomberg consensus - A detailed overview

WHERE WE STAND: BERNSTEIN CHEMICALS									
(In reporting currency, millions)	BERNSTEIN					CONSENSUS (BB)		BERN VS. CONS	
	Revenue			YoY Change		Revenue		Delta	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Industrial Gases									
Air Liquide	26,940	28,288	29,735	5%	5%	28,165	29,515	0%	1%
Air Products	12,037	12,753	13,429	6%	5%	12,765	13,568	0%	-1%
Linde	33,986	35,723	37,759	5%	6%	35,901	37,634	0%	0%
Paints & Coatings									
Akzo Nobel	10,158	10,009	10,336	-1%	3%	10,009	10,268	0%	1%
PPG	15,875	16,547	17,180	4%	4%	16,645	17,207	-1%	0%
Industrial Chemicals									
Arkema	9,068	9,108	9,462	0%	4%	9,157	9,374	-1%	1%
BASF	59,657	63,899	64,510	7%	1%	63,089	63,890	1%	1%
Borouge	5,848	7,197	9,666	23%	34%				
Clariant	3,915	3,793	4,012	-3%	6%	3,801	3,933	0%	2%
Solvay	4,261	4,111	4,291	-4%	4%	4,211	4,327	-2%	-1%
Syensqo	5,762	5,806	6,066	1%	4%	5,891	6,149	-1%	-1%
Adj. EBITDA	YoY Change					Adj. EBITDA		Delta	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Industrial Gases									
Air Liquide	8,135	8,823	9,672	8%	10%	8,688	9,402	2%	3%
Air Products	5,077	5,430	5,939	7%	9%	5,426	5,884	0%	1%
Linde	13,273	14,264	15,303	7%	7%	14,206	15,186	0%	1%
Paints & Coatings									
Akzo Nobel	1,444	1,476	1,580	2%	7%	1,424	1,527	4%	4%
PPG	2,904	3,067	3,276	6%	7%	2,885	3,059	6%	7%
Industrial Chemicals									
Arkema	1,251	1,274	1,367	2%	7%	1,268	1,343	0%	2%
BASF	6,554	7,594	7,720	16%	2%	7,320	7,588	4%	2%
Borouge	2,172	1,793	2,891	-17%	61%				
Clariant	697	666	732	-4%	10%	668	726	0%	1%
Solvay	881	774	845	-12%	9%	778	829	-1%	2%
Syensqo	1,188	1,110	1,218	-7%	10%	1,095	1,211	1%	1%
Adj. EBITDA Margin	YoY Change (bps)					Adj. EBITDA Margin		Delta (bps)	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Industrial Gases									
Air Liquide	30.2%	31.2%	32.5%	99 bps	134 bps	30.8%	31.9%	34 bps	67 bps
Air Products	42.2%	42.6%	44.2%	40 bps	165 bps	42.5%	43.4%	7 bps	85 bps
Linde	39.1%	39.9%	40.5%	87 bps	60 bps	39.6%	40.4%	36 bps	18 bps
Paints & Coatings									
Akzo Nobel	14.2%	14.7%	15.3%	53 bps	54 bps	14.2%	14.9%	52 bps	42 bps
PPG	18.3%	18.5%	19.1%	24 bps	54 bps	17.3%	17.8%	120 bps	130 bps
Industrial Chemicals									
Arkema	13.8%	14.0%	14.4%	19 bps	46 bps	13.9%	14.3%	13 bps	12 bps
BASF	11.0%	11.9%	12.0%	90 bps	8 bps	11.6%	11.9%	28 bps	9 bps
Borouge	37.1%	24.9%	29.9%	-1222 bps	500 bps				
Clariant	17.8%	17.6%	18.2%	-24 bps	67 bps	17.6%	18.5%	0 bps	-23 bps
Solvay	20.7%	18.8%	19.7%	-185 bps	86 bps	18.5%	19.2%	35 bps	53 bps
Syensqo	20.6%	19.1%	20.1%	-150 bps	97 bps	18.6%	19.7%	53 bps	39 bps
Adj. EPS	YoY Change					Adj. EPS		Delta	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Industrial Gases									
Air Liquide	6.70	6.76	7.06	1%	5%	6.43	7.11	5%	-1%
Air Products	12.07	13.28	14.64	10%	10%	13.22	14.28	0%	3%
Linde	16.46	18.02	19.89	10%	10%	17.86	19.53	1%	2%
Paints & Coatings									
Akzo Nobel	3.63	3.97	4.26	9%	7%	3.88	4.27	2%	0%
PPG	7.64	7.92	8.71	4%	10%	7.88	8.64	1%	1%
Industrial Chemicals									
Arkema	4.34	4.42	5.02	2%	14%	4.77	5.64	-7%	-11%
BASF	2.24	3.09	3.07	38%	-1%	2.71	2.88	14%	7%
Borouge	0.04	0.02	0.05	-33%	107%				
Clariant	0.68	0.62	0.73	-9%	19%	0.70	0.84	-12%	-13%
Solvay	2.82	2.24	2.65	-21%	18%	2.32	2.67	-3%	0%
Syensqo	3.72	3.80	4.31	2%	13%	3.25	4.15	17%	4%

Borouge omitted after 2025 given uncertainty around treatment of the merger in consensus

Source: Company information, Bloomberg, Bernstein analysis and estimates

MODEL UPDATES AND COMPANY UPDATE CALL NOTES

Air Liquide: We update our model for the free share allocation, which makes comparability with previous estimates not like for like. On an unchanged 28 P/E multiple, our Price Target therefore mechanically changes from €207 to €189. On a fundamental

basis, our model is little changed.

Air Products: We raise our FY26 EPS estimate by 3c, and our FY27 EPS estimates are unchanged. On an unchanged FY26 multiple of 26x, our Price Target rises \$1 to \$345.

Akzo Nobel: Our 2026 EBITDA estimate is unchanged, at €1.48bn. Our valuation methodology (a scenario-based pro forma model for the Axalta merger) but a slight change in comparable multiples means our Price Target increases €1 to €60.

Arkema: We reduce our 2026 and 2027 EBITDA estimates by 1%, as we are now expecting a slightly softer 4Q26. Given the slight rebalance of the source of growth to the more commoditised divisions, we reduce our FY26 target multiple from 6.4x to 6.1x, which is halfway between the 10-year average EBITDA multiple and the average since Russian invaded Ukraine. This causes our Price Target to fall from €68 to €61.

Borouge: Based on the ongoing disruption in the UAE, we cut our 26E and 27E EBITDA estimates by -14% and -3% respectively; we still expect the impact of higher logistics costs to be concentrated in 2026. On an unchanged valuation methodology, our Price Target falls from AED2.48 to AED 2.45.

Clariant: We cut our 2026 EBITDA by 2%, with uncertainty on Catalysts later in the year. On an unchanged 6.25x EBITDA multiple, our Price Target declines from CHF 8.30 to CHF8.

Linde: We cut our 2026 and 2027 EPS by 8c and 10c, respectively, on expectations of slightly lower 4Q26 growth. On an unchanged 31x 2026 P/E multiple, our Price Target falls from \$561 to \$559.

PPG: We cut our 2026 and 2027 Adj. EPS estimates by 3c and 4c, respectively. On an unchanged 16.4x P/E multiple, the changes in EPS are not sufficient to change out \$130 Price Target.

Solvay: We revise down our 2026 EBITDA estimates by €6m to €774m, just inside the lower bound of the guide. On an unchanged 6.0x 2026 EBITDA multiple, our Price Target falls 40c to €26.20.

Syensqo: We raise our 2026 EBITDA estimate by €7m. On an unchanged 8.25x multiple, this causes our Price Target to increase by €1 to €71.

++++++

Air Liquide - [Air Liquide - Key Themes Ahead of 2Q26 Results](#)

Air Products - [Quick Take: Air Products cancels Darrow & 3QFY26 update](#)

Akzo Nobel - [Akzo Nobel - Key Themes Ahead of 2Q26 Results](#)

Arkema - [Arkema - Key Themes Ahead of 2Q26 Results](#)

BASF - [BASF - Key Themes Ahead of 2Q26 Results](#)

Borouge - [Borouge - Key Themes Ahead of 2Q26 Results](#)

Clariant - [Clariant - Key Themes Ahead of 2Q26 Results](#)

Linde - [Linde - Key Themes Ahead of 2Q26 Results](#)

PPG - [PPG - Key Themes Ahead of 2Q26 Results](#)

Solvay - [Solvay - Key Themes Ahead of 2Q26 Results](#)

Syensqo - [Syensqo - Key Themes Ahead of 2Q26 Results](#)

EXHIBIT 20: Air Products Summary P&L

Air Products (\$m)	FY23	yoy	FY24	yoy	FY25	yoy	3Q26e	yoy	FY26e	yoy	FY27e	yoy	FY28e	yoy
Sales														
Americas	5,369.3	0.0%	5,040.1	-6.1%	5,125.9	1.7%	1,351.6	5.0%	5,469.3	6.7%	5,854.4	7.0%	6,205.7	6.0%
Asia	3,216.1	2.3%	3,224.3	0.3%	3,271.0	1.4%	854.2	10.3%	3,430.5	4.9%	3,651.8	6.5%	3,834.4	5.0%
Europe	2,963.1	-4.0%	2,823.4	-4.7%	2,984.5	5.7%	805.5	10.7%	3,160.9	5.9%	3,290.2	4.1%	3,421.8	4.0%
Middle East	162.5	25.5%	134.4	-17.3%	135.9		37.5		129.7		132.3		134.9	
Gases	11,711.0	-0.1%	11,222.2	-4.2%	11,517.3	2.6%	3,048.8	8.1%	12,190.3	5.8%	12,928.6	6.1%	13,596.7	5.2%
Corporate & Other	889.0	-8.4%	878.4	-1.2%	520.0	-40.8%	135.8	43.4%	562.5	8.2%	500.0	-11.1%	500.0	0.0%
Group	12,600.0	-0.8%	12,100.6	-4.0%	12,037.3	-0.5%	3,184.5	9.2%	12,752.8	5.9%	13,428.6	5.3%	14,096.7	5.0%
Adjusted EBITDA														
Americas	2,198.2	15.6%	2,423.2	10.2%	2,408.7	-0.6%	629.4	9.4%	2,530.6	5.1%	2,764.4	9.2%	2,992.4	8.2%
Asia	1,369.7	0.9%	1,363.1	-0.5%	1,412.3	3.6%	369.6	10.7%	1,495.9	5.9%	1,630.7	9.0%	1,750.6	7.4%
Europe	962.1	23.9%	1,105.2	14.9%	1,194.0	8.0%	321.7	14.9%	1,293.7	8.3%	1,379.5	6.6%	1,462.1	6.0%
Middle East	394.2		380.0		376.4		114.5		400.6		409.9		433.4	
Gases	4,924.2	12.5%	5,271.5	7.1%	5,391.4	2.3%	1,435.2	12.9%	5,720.8	6.1%	6,184.6	8.1%	6,638.5	7.3%
Corporate & Other	-222.4		-225.2		-314.9	39.8%	-59.2	-42.8%	-291.2		-246.0		-256.0	
Group	4,701.8	10.7%	5,046.3	7.3%	5,076.5	0.6%	1,376.0	17.9%	5,429.6	7.0%	5,938.6	9.4%	6,382.5	7.5%
Adjusted EBIT														
Americas	1,439.7	22.6%	1,565.1	8.7%	1,519.6	-2.9%	390.2	6.7%	1,600.9	5.3%	1,766.3	10.3%	1,934.3	9.5%
Asia	906.5	0.9%	859.2	-5.2%	851.1	-0.9%	237.2	23.9%	967.1	13.6%	1,064.2	10.0%	1,155.7	8.6%
Europe	663.4	31.8%	810.0	22.1%	844.7	4.3%	227.4	16.3%	904.3	7.1%	974.2	7.7%	1,040.6	6.8%
Middle East	16.9		5.9		9.6		7.9		25.1		26.9		28.8	
Gases	3,026.5	16.5%	3,240.2	7.1%	3,225.0	-0.5%	862.6	15.1%	3,497.4	8.4%	3,831.6	9.6%	4,159.4	8.6%
Corporate & Other	-287.3		-292.7		-367.3	25.5%	-74.4	-37.2%	-335.7		-300.0		-310.0	
Operating Income	2,739.2	13.5%	2,947.5	7.6%	2,857.7	-3.0%	788.3	24.9%	3,161.7	10.6%	3,531.6	11.7%	3,849.4	9.0%
Adj Net Income	2,562.9	10.7%	2,768.6	8.0%	2,688.4	-2.9%	747.5	24.9%	2,959.9	10.1%	3,263.2	10.2%	3,540.2	8.5%
Dil Shares (m)	222.7		222.8		222.7		222.9		222.9		222.9		222.9	
Dil EPS \$	11.51	10.6%	12.43	8.0%	12.07	-2.9%	3.35	24.8%	13.28	10.0%	14.64	10.2%	15.88	8.5%
DPS \$	7.00	8.0%	7.08	1.1%	7.16	1.1%	1.81	1.1%	7.24	1.1%	7.35	1.5%	7.50	2.0%
EBITDA margin														
Americas	40.9%		48.1%		47.0%		46.6%		46.3%		47.2%		48.2%	
Asia	42.6%		42.3%		43.2%		43.3%		43.6%		44.7%		45.7%	
Europe	32.5%		39.1%		40.0%		39.9%		40.9%		41.9%		42.7%	
Middle East	NM		NM		NM		NM		NM		NM		NM	
Gases	42.0%		47.0%		46.8%		47.1%		46.9%		47.8%		48.8%	
Group	37.3%		41.7%		42.2%		43.2%		42.6%		44.2%		45.3%	
EBIT margin														
Americas	26.8%		31.1%		29.6%		28.9%		29.3%		30.2%		31.2%	
Asia	28.2%		26.6%		26.0%		27.8%		28.2%		29.1%		30.1%	
Europe	22.4%		28.7%		28.3%		28.2%		28.6%		29.6%		30.4%	
Middle East	10.4%		4.4%		7.1%		21.1%		19.3%		20.3%		21.3%	
Gases	25.8%		28.9%		28.0%		28.3%		28.7%		29.6%		30.6%	
Group	21.7%		24.4%		23.7%		24.8%		24.8%		26.3%		27.3%	

Source: Company information, Bernstein analysis and estimates

EXHIBIT 21: Air Products Summary Cash Flow Metrics

Air Products	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Op. Cash Flow/Sales	36.9%	32.3%	25.0%	25.4%	30.1%	27.1%	33.5%	34.7%	36.0%
Capex/Sales	28.3%	23.9%	36.1%	44.0%	56.2%	58.3%	27.4%	17.1%	17.7%
Capex (non-GAAP)/Sales	30.7%	24.7%	36.6%	41.5%	42.6%	42.1%	27.4%	17.1%	17.7%
Capex/depreciation	2.1x	1.9x	3.4x	4.1x	4.7x	4.5x	2.2x	1.4x	1.4x
Op. Profit/Capex	0.9x	1.0x	0.5x	0.5x	0.4x	0.4x	0.9x	1.5x	1.5x
Free Cash Flow (\$m)	756	871	-1,414	-2,332	-3,150	-3,766	770	2,366	2,581
Free Cash Conversion	34%	37%	-57%	-84%	-105%	-132%	24%	67%	67%
Net Debt (\$m)	1,550	1,836	4,271	8,357	11,243	15,842	15,620	14,682	13,563
Net Debt/EBITDA	0.4x	0.5x	1.0x	1.8x	2.2x	3.1x	2.9x	2.5x	2.1x

Source: Company information, Bernstein analysis and estimates

EXHIBIT 22: Akzo Nobel Summary P&L

Akzo Nobel (EURmn)	2022	2023	yoy	2024	yoy	2Q25	yoy	2025	yoy	2Q26e	yoy	2026e	yoy	2027e	yoy	2028e	yoy
Sales																	
Deco Europe	2,405	2,413	0.3%	2,462	2.0%	672	-2.3%	2,412	-2.0%	686	2.1%	2,450	1.6%	2,491	1.7%	2,553	2.5%
Deco Americas	794	780	-1.8%	825	5.8%	164	-10.9%	758	-8.1%	177	7.7%	804	6.1%	850	5.6%	883	4.0%
Deco Asia	1,172	1,107	-5.5%	1,014	-8.4%	244	-8.6%	920	-9.3%	204	-16.3%	719	-21.8%	718	-0.2%	743	3.5%
Total Deco Paints	4,371	4,300	-1.6%	4,301	0.0%	1,080	-5.2%	4,090	-4.9%	1,067	-1.2%	3,974	-2.8%	4,058	2.1%	4,180	3.0%
Powder Coatings	1,376	1,377	0.1%	1,365	-0.9%	325	-7.1%	1,280	-6.2%	329	1.3%	1,288	0.6%	1,337	3.8%	1,404	5.0%
Marine & Protective	1,374	1,482	7.9%	1,575	6.3%	413	0.2%	1,570	-0.3%	426	3.1%	1,563	-0.4%	1,639	4.8%	1,721	5.0%
Spec Coatings	1,390	1,422	2.3%	1,434	0.8%	335	-8.0%	1,347	-6.1%	339	1.3%	1,362	1.1%	1,427	4.8%	1,499	5.0%
Industrial Coatings	2,181	2,087	-4.3%	2,036	-2.4%	473	-8.9%	1,871	-8.1%	461	-2.5%	1,822	-2.6%	1,874	2.8%	1,911	2.0%
Other/Eliminations	151	0		0		0		0									
Total Perf Coatings	6,472	6,368	-1.6%	6,410	0.7%	1,546	-6.0%	6,068	-5.3%	1,555	0.6%	6,035	-0.5%	6,277	4.0%	6,535	4.1%
Other/Eliminations	3	5		0		0		0		0		0		0		0	
Paints & Coatings	10,846	10,673	-1.6%	10,711	0.4%	2,626	-5.7%	10,158	-5.2%	2,622	-0.1%	10,009	-1.5%	10,336	3.3%	10,715	3.7%
EBITDA																	
Decorative Paints	552	645	16.8%	635	-1.6%	192	7.9%	648	2.0%	203	5.8%	702	8.3%	741	5.6%	784	5.8%
Performance Coatings	664	854	28.6%	913	6.9%	213	-10.1%	843	-7.7%	214	0.6%	826	-2.0%	897	8.6%	980	9.2%
Other/Eliminations	-59	-70		-70		-12		-47		-17		-52		-58		-63	
Paints & Coatings	1,157	1,429	23.5%	1,478	3.4%	393	-1.8%	1,444	-2.3%	400	1.9%	1,476	2.2%	1,580	7.1%	1,701	7.6%
Recurring D&A	368	355	-3.5%	365	2.8%	90	-1.1%	363	-0.5%	90	0.0%	363	0.0%	377	3.9%	388	3.0%
Recurring EBIT	789	1,074	36.1%	1,113	3.6%	303	-1.9%	1,081	-2.9%	310	2.4%	1,115	3.2%	1,203	7.9%	1,313	9.1%
Recurring EBIT margin	7.3%	10.1%	2.8%	10.4%	0.3%	11.5%	0.4%	10.6%	0.3%	11.8%	0.3%	11.1%	0.5%	11.6%	0.5%	12.3%	0.6%
Net income	352	446		542		124		635		140		481		671		810	
Adjusted EPS	2.45	3.07	25.1%	3.88	26.7%	1.13	5.3%	3.63	-6.5%	1.15	1.5%	3.97	9.2%	4.26	7.5%	4.74	11.1%
EBITDA margin																	
Decorative Paints	12.6%	15.0%	2.4%	14.8%	-0.2%	17.8%	2.2%	15.8%	1.1%	19.0%	1.3%	17.7%	1.8%	18.3%	0.6%	18.8%	0.5%
Performance Coatings	10.3%	13.4%	3.2%	14.2%	0.8%	13.8%	-0.6%	13.9%	-0.4%	13.8%	0.0%	13.7%	-0.2%	14.3%	0.6%	15.0%	0.7%
Paints & Coatings	10.7%	13.4%	2.7%	13.8%	0.4%	15.0%	0.6%	14.2%	0.4%	15.3%	0.3%	14.7%	0.5%	15.3%	0.5%	15.9%	0.6%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 23: Akzo Nobel Cash Flow Metrics

Akzo Nobel (EURmn)	2022	2023	2024	2025	2026e	2027e	2028e
Op. Cash Flow/Sales	2.4%	10.5%	6.3%	9.0%	6.2%	8.8%	9.9%
Capex/Sales	2.7%	2.7%	2.9%	3.0%	3.5%	3.4%	3.3%
Capex/depreciation	0.79	0.80	0.82	0.82	0.96	0.93	0.90
Op. Profit/Capex	2.70	3.76	3.64	3.50	3.19	3.44	3.75
Free Cash Flow (€m)	-29	840	367	606	267	562	710
Free Cash Flow/Sales	-0.3%	7.9%	3.4%	6.0%	2.7%	5.4%	6.6%
Free Cash Conversion/EBITDA	-2.5%	58.8%	24.8%	42.0%	18.1%	35.6%	41.8%
Dividends/Sales	3.5%	3.4%	3.6%	3.8%	3.4%	3.4%	3.4%
Net Debt (€m)	4,247	3,943	4,059	2,892	2,851	2,582	2,172
Interest/EBITDA	-10.7%	-19.0%	-6.9%	-13.8%	-10.3%	-10.8%	-10.0%
Net Debt/EBITDA	3.7x	2.8x	2.7x	2.0x	1.9x	1.6x	1.3x

Source: Company information, Bernstein analysis and estimates

EXHIBIT 24: **Arkema Model Output**

Arkema										
Model Output	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Summary Income Statement										
Revenues	8,738	7,884	9,519	11,550	9,514	9,544	9,068	9,108	9,462	9,700
% growth	-0.9%	-9.8%	20.7%	21.3%	-17.6%	0.3%	-5.0%	0.4%	3.9%	2.5%
EBITDA Recurring	1,457	1,182	1,727	2,110	1,501	1,532	1,251	1,274	1,367	1,460
% growth	-1.2%	-18.9%	46.1%	22.2%	-28.9%	2.1%	-18.3%	1.8%	7.3%	6.8%
% margin	16.7%	15.0%	18.1%	18.3%	15.8%	16.1%	13.8%	14.0%	14.4%	15.1%
Operating Income Recurring	926	619	1,184	1,560	939	895	564	576	641	720
% growth	-9.7%	-33.2%	91.3%	31.8%	-39.8%	-4.7%	-37.0%	2.1%	11.3%	12.4%
% margin	10.6%	7.9%	12.4%	13.5%	9.9%	9.4%	6.2%	6.3%	6.8%	7.4%
Equity Income	-2	-2	-1	-6	-9	-6	-1	0	0	0
Net Financial Charges	-116	-85	-56	-61	-70	-73	-125	-128	-135	-135
PBT Adjusted	808	532	1,127	1,493	860	816	438	448	506	585
Underlying Income Taxes	-175	-138	-233	-325	-200	-197	-111	-110	-121	-140
Minority Interests	-8	-3	2	-1	-7	-3	1	-4	-5	-5
Net income (Adjusted)	625	391	896	1,167	653	616	328	334	379	440
NOSH	76	76	75	74	75	75	76	76	76	76
NOSH (diluted)	77	77	76	74	75	75	76	76	76	76
EPS Adjusted	8.20	5.11	11.88	15.75	8.75	8.23	4.34	4.42	5.02	5.82
% growth	-13.8%	-37.7%	132.3%	32.6%	-44.5%	-5.9%	-47.2%	1.8%	13.6%	15.9%
EPS Adjusted (diluted)	8.16	5.10	11.81	15.68	8.71	8.19	4.32	4.40	4.99	5.79
DPS	2.20	2.50	3.00	3.40	3.50	3.60	3.60	3.60	3.70	3.80
% growth	-12.0%	13.6%	20.0%	13.3%	2.9%	2.9%	0.0%	0.0%	2.8%	2.7%
% payout ratio (EPS adj.)	26.8%	48.9%	25.2%	21.6%	40.0%	43.8%	82.9%	81.4%	73.6%	65.3%
Summary Balance Sheet										
Intangible Assets, net	1,475	1,433	1,517	2,178	2,416	2,373	2,142	2,089	2,041	1,990
Goodwill	1,917	1,933	1,925	2,655	3,040	3,071	2,865	2,862	2,860	2,857
Property Plant and Equipment, net	3,026	2,828	3,031	3,429	3,730	4,227	3,935	3,726	3,535	3,333
Total non-current Assets	6,960	6,648	6,916	8,749	9,659	10,214	9,420	9,142	8,886	8,616
Inventories	1,014	881	1,283	1,399	1,208	1,348	1,142	1,231	1,302	1,361
Accounts Receivable	1,204	1,131	1,432	1,360	1,261	1,312	1,185	1,190	1,236	1,268
Cash and Cash Equivalents	1,407	1,587	2,285	1,592	2,045	2,013	2,188	2,540	2,929	3,396
Total Current Assets	4,017	4,063	5,385	4,762	4,858	4,995	4,825	5,271	5,777	6,334
Total Assets	10,977	10,711	12,301	13,511	14,517	15,209	14,245	14,413	14,663	14,950
Accounts Payable	905	987	1,274	1,149	1,036	1,074	971	975	998	1,011
Current debt	661	134	82	698	541	874	756	756	756	756
Total Current Liabilities	2,026	1,580	1,993	2,410	2,079	2,486	2,260	2,264	2,287	2,300
Provisions for pensions & employee benefits	525	530	493	382	397	391	340	340	340	340
Non-current debt	2,377	2,663	2,680	2,560	3,734	3,680	3,802	3,802	3,802	3,802
Total Non-Current Liabilities	3,627	3,896	3,958	3,762	4,983	4,962	4,953	4,890	4,827	4,764
Total Shareholders' Equity	5,324	5,235	6,350	7,339	7,455	7,761	7,032	7,258	7,548	7,886
Total Liabilities	10,977	10,711	12,301	13,511	14,517	15,209	14,245	14,413	14,663	14,950
Net (Debt) / Cash Including Hybrid	-2,331	-1,910	-1,177	-2,366	-2,930	-3,241	-3,070	-2,718	-2,329	-1,862
Net Debt / EBITDA Recurring	1.6x	1.6x	0.7x	1.1x	2.0x	2.1x	2.5x	2.1x	1.7x	1.3x
ROCE	10.3%	6.8%	11.5%	14.1%	7.5%	7.0%	4.7%	4.7%	5.2%	5.7%
ROIC	10.4%	7.1%	13.8%	13.6%	7.4%	6.6%	4.5%	4.7%	5.3%	6.0%
Summary Cash Flow Statement										
Cash Flow from Operations	1,300	1,115	915	1,496	1,272	1,121	997	883	971	1,055
Capex	-607	-600	-758	-707	-634	-761	-636	-600	-650	-650
Dividends	-190	-168	-191	-222	-253	-261	-272	-272	-272	-279
FCF (Company)	667	651	479	784	625	358	390	282	320	406
FCF (Bernstein)	639	523	230	766	594	387	337	265	303	389
FCF Per Share (Company)	8.76	8.51	6.35	10.58	8.37	4.78	5.16	3.74	4.23	5.38
FCFPS (Company) / Adj. EPS	1.1x	1.7x	0.5x	0.7x	1.0x	0.6x	1.2x	0.8x	0.8x	0.9x
FCF / Sales	7.3%	6.6%	2.4%	6.6%	6.2%	4.1%	3.7%	2.9%	3.2%	4.0%
Free Cash Conversion (EBITDA Recurring)	44%	44%	13%	36%	40%	25%	27%	21%	22%	27%
Dividend Coverage (FCF Co.)	3.4x	3.1x	1.2x	3.5x	2.3x	1.5x	1.2x	1.0x	1.1x	1.4x
Capex/Sales	6.9%	7.6%	8.0%	6.1%	6.7%	8.0%	7.0%	6.6%	6.9%	6.7%
Capex/Depreciation	1.1x	1.1x	1.4x	1.3x	1.1x	1.2x	0.9x	0.9x	0.9x	0.9x
EBITDA-capex	850	582	969	1,403	867	771	615	674	717	810
EBITDA-capex/Sales	9.7%	7.4%	10.2%	12.1%	9.1%	8.1%	6.8%	7.4%	7.6%	8.4%
Working Capital/Sales	13.3%	10.8%	11.8%	12.1%	13.3%	14.5%	12.7%	13.6%	14.1%	14.5%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 26: **Borouge Summary income statement**

Borouge PLC										
Model Output	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Summary Income Statement										
Revenues	6,216	6,727	5,791	6,026	5,848	7,197	9,666	10,086	10,190	10,549
% growth		8.2%	-13.9%	4.1%	-2.9%	23.1%	34.3%	4.3%	1.0%	3.5%
EBITDA Recurring	2,725	2,646	2,171	2,477	2,172	1,793	2,891	3,034	3,006	3,155
% growth		-2.9%	-18.0%	14.1%	-12.3%	-17.5%	61.3%	4.9%	-0.9%	5.0%
% margin	43.8%	39.3%	37.5%	41.1%	37.1%	24.9%	29.9%	30.1%	29.5%	29.9%
Operating Income Recurring	2,208	2,075	1,597	1,921	1,693	1,216	2,278	2,420	2,392	2,542
% growth		-6.0%	-23.0%	20.3%	-11.9%	-28.2%	87.4%	6.3%	-1.2%	6.2%
% margin	35.5%	30.8%	27.6%	31.9%	29.0%	16.9%	23.6%	24.0%	23.5%	24.1%
Net Financial Charges	-6	-102	-196	-175	-154	-220	-220	-192	-158	-122
PBT Adjusted	2,202	1,973	1,401	1,746	1,539	996	2,058	2,228	2,234	2,419
Underlying Income Taxes	-674	-564	-400	-506	-441	-284	-587	-636	-637	-690
Minority Interests	10	16	10	14	10	12	16	17	17	18
Net income (Adjusted)	1,528	1,409	1,001	1,239	1,100	712	1,471	1,592	1,597	1,729
NOSH		30,058	30,058	30,058	29,938	29,876	29,876	29,876	29,876	29,876
NOSH (diluted)		30,058	30,058	30,058	29,938	29,876	29,876	29,876	29,876	29,876
EPS Adjusted		0.05	0.03	0.04	0.04	0.02	0.05	0.06	0.06	0.06
% growth			-40.0%	33.3%	-8.2%	-32.6%	106.6%	8.3%	0.3%	8.3%
DPS		0.01	0.04	0.04	0.04	0.04	0.04	0.04	0.04	0.04
% growth			305.3%	-0.8%	0.8%	0.0%	0.0%	0.0%	0.0%	0.0%
% payout ratio (EPS adj.)		21.6%	146.1%	108.7%	119.3%	177.0%	85.7%	79.1%	78.9%	72.9%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 27: **Borouge Summary balance sheet**

Borouge PLC										
Model Output	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Summary Balance Sheet										
Intangible Assets, net		56	60	61	105	86	59	30	1	-30
Property Plant and Equipment, net		7,053	6,677	6,293	6,082	5,726	5,355	4,986	4,617	4,249
Other Non-Current Assets		186	192	183	183	183	183	183	183	183
Total Non-Current Assets		7,294	6,929	6,537	6,370	5,995	5,597	5,198	4,800	4,402
Inventories		655	645	641	524	745	908	1,087	1,199	1,324
Accounts Receivable		890	797	859	808	995	1,181	1,205	1,274	1,377
Cash and Cash Equivalents		1,144	354	419	427	272	696	1,220	1,769	2,393
Other Current Assets		252	219	253	361	361	361	361	361	361
Total Current Assets		2,941	2,014	2,171	2,119	2,372	3,145	3,872	4,603	5,455
Total Assets		10,235	8,944	8,707	8,489	8,367	8,742	9,070	9,403	9,857
Accounts Payable		370	308	357	378	574	699	688	682	662
Current debt		0	0	0	2,958	0	0	0	0	0
Other Current Liabilities		658	592	578	659	659	659	659	659	659
Total Current Liabilities		1,028	901	935	3,995	1,233	1,358	1,347	1,341	1,321
Provisions for pensions & employee benefits		94	93	98	93	115	154	160	162	168
Non-current debt		3,984	3,141	2,944	0	4,000	4,000	4,000	4,000	4,000
Other Non-current Liabilities		260	264	249	286	286	286	286	286	286
Total Non-Current Liabilities		4,338	3,498	3,291	379	4,400	4,439	4,446	4,448	4,453
Total Liabilities		5,366	4,398	4,225	4,373	5,633	5,797	5,793	5,789	5,774
Total Shareholders' Equity		4,848	4,533	4,463	4,089	2,695	2,890	3,205	3,524	3,975
Non-controlling Interests		22	13	19	27	39	55	72	89	107
Total Equity and Liabilities		10,235	8,944	8,707	8,489	8,367	8,742	9,070	9,403	9,857
Net (Debt) / Cash		-2,840	-2,787	-2,526	-2,531	-3,728	-3,304	-2,780	-2,231	-1,607
Net Debt / EBITDA Recurring		1.1x	1.3x	1.0x	1.2x	2.1x	1.1x	0.9x	0.7x	0.5x
ROIC (incl. Intangibles)		22.5%	17.7%	22.4%	21.0%	16.2%	33.3%	38.6%	41.7%	48.8%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 28: **Borouge Summary cash flow statement**

Borouge PLC										
Model Output	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Summary Cash Flow Statement										
Cash Flow from Operations			1,769	1,913	1,921	1,098	1,900	2,000	2,025	2,099
Capex			-199	-167	-303	-202	-215	-215	-215	-215
Dividends			-1,317	-1,307	-1,312	-1,312	-1,260	-1,260	-1,260	-1,260
FCF (CFO minus capex)			1,592	1,769	1,636	896	1,684	1,784	1,810	1,884
FCF Per Share			0.05	0.06	0.05	0.03	0.06	0.06	0.06	0.06
FCFPS (Company) / Adj. EPS			1.8x	1.5x	1.5x	1.2x	1.1x	1.1x	1.1x	1.0x
FCF / Sales			27.5%	29.4%	28.0%	12.4%	17.4%	17.7%	17.8%	17.9%
Free Cash Conversion (EBITDA Recurring)			73%	71%	75%	50%	58%	59%	60%	60%
Dividend Coverage (FCF Co.)			1.2x	1.4x	1.2x	0.7x	1.3x	1.4x	1.4x	1.5x
Capex/Sales			3.4%	2.8%	5.2%	2.8%	2.2%	2.1%	2.1%	2.0%
EBITDA-capex			1,972	2,310	1,869	1,590	2,676	2,819	2,790	2,940
EBITDA-capex/Sales			34.1%	38.3%	32.0%	22.1%	27.7%	27.9%	27.4%	27.9%
Working Capital/Sales			19.6%	19.0%	16.3%	16.2%	14.4%	15.9%	17.6%	19.3%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 29: **Clariant Summary P&L**

Clariant (CHFmn)	FY 22		FY 23		FY 24		FY 25		FY 26e		FY 27e		FY 28e	
Sales														
Care Chemicals	2,937	23.5%	2,320	-21.0%	2,242	-3.4%	2,112	-5.8%	2,071	-2.0%	2,163	4.5%	2,260	4.5%
Catalysts	989	9.0%	1,000	1.1%	883	-11.7%	816	-7.6%	735	-10.0%	797	8.5%	816	2.5%
Adsorbents & Additives	1,272	19.5%	1,057	-16.9%	1,027	-2.8%	987	-3.9%	988	0.1%	1,052	6.5%	1,120	6.5%
Divisional Sales	5,198	18.9%	4,377	-15.8%	4,152	-5.1%	3,915	-5.7%	3,793	-3.1%	4,012	5.8%	4,197	4.6%
EBITDA before exceptionals														
Care Chemicals	578	29.2%	409	-29.2%	408	-0.2%	407	-0.2%	406	-0.3%	440	8.5%	477	8.3%
Catalysts	98	-34.7%	163	66.3%	154	-5.5%	170	10.4%	131	-23.2%	146	11.5%	153	5.3%
Adsorbents & Additives	281	27.8%	131	-53.4%	162	23.7%	169	4.3%	179	5.8%	196	9.4%	214	9.3%
Divisional EBITDA	957	17.0%	703	-26.5%	724	3.0%	746	3.0%	715	-4.1%	782	9.3%	844	8.0%
Corporate	-64		-62		-61		-49		-49		-50		-52	
Total	893	17.5%	641	-28.2%	663	3.4%	697	5.1%	666	-4.4%	732	9.8%	792	8.3%
EBITDA before exceptionals Margin														
Care Chemicals	19.7%		17.6%		18.2%		19.3%		19.6%		20.4%		21.1%	
Catalysts	9.9%		16.3%		17.4%		20.8%		17.8%		18.3%		18.8%	
Adsorbents & Additives	22.1%		12.4%		15.8%		17.1%		18.1%		18.6%		19.1%	
Divisional EBITDA	18.4%		16.1%		17.4%		19.1%		18.9%		19.5%		20.1%	
Clariant	17.2%		14.6%		16.0%		17.8%		17.6%		18.2%		18.9%	
Operating Profit before exceptionals														
Care Chemicals	467		323		306		303		291		320		352	
Catalysts	11		90		88		103		63		76		81	
Adsorbents & Additives	230		72		101		105		114		129		145	
Divisional EBITDA	708		485		495		511		467		525		578	
Corporate	-91		-80		-79		-66		-69		-70		-72	
Total	617		405		416		445		398		455		506	
Net Income														
Adj. EPS (CHF)	1.19		0.75		0.66		0.68		0.62		0.73		0.84	

Source: Company information, Bernstein analysis and estimates

EXHIBIT 30: **Clariant Cash Flow Metrics**

Clariant (CHFmn)	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Operating Cash Flow/Sales	7.1%	10.3%	7.6%	7.3%	8.9%	9.5%	10.1%	10.7%	11.6%	13.3%	13.8%
Capex/Sales	3.6%	6.2%	7.5%	8.2%	4.0%	4.7%	5.1%	3.8%	4.6%	5.0%	4.8%
Capex/Depreciation	1.0x	1.2x	1.4x	1.6x	0.9x	0.9x	0.9x	0.6x	0.7x	0.7x	0.7x
Operating Profit/Capex	2.9x	1.6x	1.2x	1.4x	3.0x	2.0x	2.0x	3.0x	2.3x	2.3x	2.5x
Free Cash flow (FCF)	232	180	7	-36	253	210	208	270	266	334	381
Free Cash Flow/Sales	3.5%	4.1%	0.2%	-0.8%	4.9%	4.8%	5.0%	6.9%	7.0%	8.3%	9.1%
Free Cash Conversion	0.0%	23.3%	1.1%	-5.0%	31.2%	34.6%	31.7%	42.0%	42.1%	47.3%	49.6%
Net Debt	1,381	1,347	1,018	1,522	746	756	1,489	1,414	1,130	989	814
Interest Cover	8.6x	4.7x	4.1x	10.7x	9.3x	6.3x	5.9x	1.4x	6.1x	7.0x	7.8x
Net Debt / EBITDA	0.0x	1.8x	1.6x	2.0x	0.8x	1.2x	2.2x	2.0x	1.7x	1.4x	1.0x
Net Debt+Pension/EBITDA	2.1x	2.6x	2.6x	2.9x	1.5x	2.0x	3.0x	2.9x	2.5x	2.0x	1.6x
FCC OpCF- Capex/EBITDA	22.8%	23.3%	1.1%	-4.7%	28.3%	32.8%	31.4%	38.7%	39.9%	45.7%	48.0%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 37: **Syensqo Cash Flow Metrics**

Syensqo (EURmn)	2022	2023	2023PF	2024	2025	2026e	2027e	2028e
Op. Cash Flow/Sales	13.6%	19.0%	18.2%	11.9%	17.1%	18.3%	16.9%	17.7%
Capex/Sales	6.6%	12.4%	12.4%	10.2%	9.8%	7.8%	7.4%	7.1%
Capex/depreciation	1.1x	1.8x	1.8x	1.3x	0.8x	0.9x	0.8x	0.8x
Op. Profit/Capex	2.6x	1.3x	1.3x	1.3x	0.9x	1.3x	1.5x	1.7x
Free Cash Flow (€m)	554	448	448	223	356	149	559	656
Free Cash Flow/Sales	7.0%	6.6%	6.6%	3.4%	6.2%	2.6%	9.2%	10.4%
Free Cash Conversion/EBITDA	29.8%	27.7%	28.2%	15.8%	30.0%	13.4%	45.9%	49.2%
Free Cash Conversion/EBIT	40.1%	39.5%	40.6%	25.4%	74.2%	24.8%	83.6%	83.7%
Dividends/Sales	0.0%	0.0%	0.0%	2.6%	3.0%	2.9%	2.9%	2.8%
Net Debt (€m)	1,430	1,663	1,585	1,859	2,024	1,624	1,333	949
Gearing	29.0%	22.0%	20.9%	25.0%	33.4%	22.9%	17.1%	11.5%
Interest Cover	10.4x	7.0x	6.9x	5.9x	3.1x	4.3x	4.7x	5.5x
Net Debt/EBITDA	0.8x	1.0x	1.0x	1.3x	1.7x	1.5x	1.1x	0.7x
Net Debt (inc. Provisions)/EBITDA	1.1x	1.5x	1.5x	1.8x	2.2x	2.0x	1.6x	1.2x

Source: Company information, Bernstein analysis and estimates

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action> or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

CONFLICTS OF INTEREST

SG and/or an affiliate is acting as Joint Active Bookrunner in Linde plc's triple tranche bond issue (EUR 6Y/10Y/20Y).

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Akzo Nobel NV and Syensqo.

Bernstein Autonomous LLP or BSG France SA, beneficially, has either a net long or short position of 0.5% or more of the total issued share capital of a class of common equity securities of the following MiFID eligible securities: Arkema.

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Akzo Nobel NV, Arkema, Linde plc and PPG Industries.

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Air Liquide SA, Arkema and Linde plc.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Air Liquide SA, Akzo Nobel NV, Arkema, BASF SE, Borouge Plc, Linde plc and Solvay SA.

Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: PPG Industries.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Air Liquide SA, Akzo Nobel NV, BASF SE and Borouge Plc.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Air Liquide SA, Air Products & Chemicals Inc, Akzo Nobel NV, Arkema, BASF SE, Clariant AG, Linde plc, PPG Industries, Solvay SA and Syensqo.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Air Liquide SA, Air Products & Chemicals Inc, Arkema, Borouge Plc, Linde plc and Solvay SA.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Akzo Nobel NV, Arkema, Linde plc and PPG Industries.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Akzo Nobel NV, Arkema, BASF SE, Borouge Plc, Linde plc and PPG Industries.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Africa Technologies & Services; Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for “Bernstein” and “Autonomous” research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant

persons"). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and

- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](http://Sanford C. Bernstein (India) Private Limited) (<https://bernsteinresearch.in/>) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained

herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.